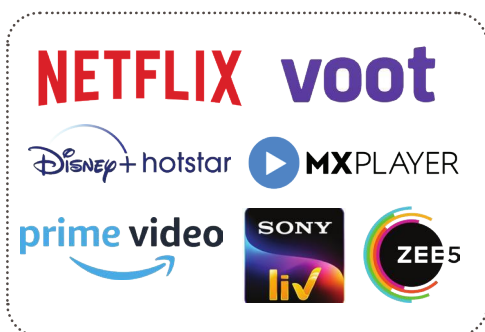


Is the Industry Growing?

(Fast growth/Moderate growth/Zero growth/Negative growth)

No single firm has control over the pace of industry growth. Firms can rely only on aggression for market share gain or choose to enter new industries. The pace of an industry's growth is critical in determining the intensity of competition that firms will face as they seek to survive.

If the industry is growing fast, all competitors can grow by gaining more from the new business.



The faster the industry grows, the lower would be the intensity of competition.

If the industry is growing slowly, the major source of gain is market share growth.



In slow-growth industries, the competitors tend to compete very intensely with each other, as each of them wishes to benefit from the other firm's market share.